

Hedge, DON'T GAMBLE

IN THE CURRENT ENVIRONMENT OF ELEVATED INFLATION, GEOPOLITICAL UNCERTAINTY, AND VOLATILE EQUITY MARKETS, GOLD AND SILVER SHOULD BE LOOKED AT AS RISK-MANAGEMENT ASSETS RATHER THAN RETURN-GIVING OR TACTICAL TRADES

BY ANAGH PAL

JANUARY-END saw a precious metal maelstrom. The unprecedented overnight shift of nearly \$9 trillion in US equities—and the sharp sell-off in traditional safe havens such as gold—set the stage for extreme repricing. At one point, gold was down 9% intraday, erasing over \$3.5 trillion in market value, while silver declined over 12%, wiping out more than \$1 trillion in perceived wealth. This has been a dramatic repricing of risk assets and traditional hedges alike.

“This is not about fundamentals breaking. This is about position unwinding and policy uncertainty colliding. Over the last few months, markets were priced for perfection—rate cuts were baked in and liquidity was assumed. The moment policy clarity got delayed and global risks resurfaced, leverage came out violently, which is why equities, gold and silver corrected together. This is classic forced de-risking,” says Amit Jain, co-founder, Ashika Global Family Office Services.

However, the recent correction, or perceived “crash”, in precious metal prices does not signal a

breakdown of their structural relevance. “Instead, it reflects short-term forces such as hawkish Fed repricing, a stronger US dollar, profit-taking after prior rallies, unwinding of leveraged positions, and increases in margin requirements,” says Sunil Katke, National Head-Commodities Retail Business, Kotak Securities.

PORTFOLIO HEDGE

Gold and silver should be positioned as part of a broader “commodity theme” that acts as a structural diversifier and hedge against global instability. In a landscape where traditional stock-bond correlations can break down, gold serves as “strategic insurance” or a neutral asset that protects purchasing power against erosion of fiat currency and geopolitical “regime risk.”

“While gold is viewed as a long-term anchor, silver is positioned as a high-beta satellite holding because its performance is more cyclical and volatile. Overall, these metals should be bought as a hedge rather than return maximisers,” says Rahul Singh, Chief Investment Officer, Equities, Tata Mutual Fund.

“Their primary role is to act as portfolio stabilisers—providing protection against inflation over long cycles, hedging currency and policy risks, and cushion-